

Table 2.9 Daily Volume Distribution Statistics						
	Avg	Avg	Avg	Avg	Avg	Avg
	ADV	Median	St Dev	Skew	Kurt	CoV
Exchange						
NYSE	2,450,075	592,194	1,360,792	4.33	38.98	74%
NASDAQ	991,463	177,048	689,431	5.59	58.01	99%
Market Cap						
LC	6,160,167	2,785,869	3,186,060	3.31	23.65	55%
SC	495,593	187,777	429,620	5.43	55.60	95%
NYSE						
LC	5,836,089	2,785,869	2,986,093	3.23	22.77	54%
SC	639,273	255,871	491,600	4.92	47.65	85%
NASDAQ						
LC	7,405,640	2,753,902	3,954,560	3.61	27.04	59%
SC	400,455	148,711	388,579	5.77	60.86	102%
Large Cap						
NYSE	5,836,089	2,785,869	2,986,093	3.23	22.77	54%
NASDAQ	7,405,640	2,753,902	3,954,560	3.61	27.04	59%
Small Cap						
NYSE	639,273	255,871	491,600	4.92	47.65	85%
NASDAQ	400,455	148,711	388,579	5.77	60.86	102%

or due to randomness. We evaluated volumes by day over 2009–2012 to address this question. For large cap stocks we found similar weekly patterns for each of the years except for 2010 where volumes increased on Friday. For small cap stocks we found that the current weekly pattern has existed since at least 2009. One of the common beliefs for why Friday volumes have increased for small cap stocks is that portfolio managers do not want to hold weekend risk for stocks with a large amount of company specific risk. Thus, where managers may have been willing to hold open positions over the weekend at one point in time, they may be less willing to hold open positions in these names in today's trading environment. In 2010 large cap stocks exhibited similar patterns with Friday volumes increasing. A belief by market participants is that this was the result of a hangover effect where managers were not willing to hold open positions for large as well as small cap stocks due to market environment and uncertainty at that point in time.